immense challenge for a country's government. We will discuss a few aspects of policy dilemmas under a fixed exchange rate regime in the next section.

Check Your Progress 2

1) State whether the following statements are 'True' or 'False', giving reasons for your answer in each case:

   (a) A country can have a current account surplus, even when it has a negative trade balance (or merchandise trade deficit).

   (b) When Indian firms invest in foreign firms ('outward FDI'), there would be a corresponding capital inflow in the current account of India's BOP.

   (c) A country can have an overall BOP deficit even when it has a current account surplus.

   (d) When a country has a current account deficit (of say –$20,000) and a capital account surplus (of say $8000), its foreign exchange reserves would increase.

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2) Suppose that domestic currency depreciates by 2 percent and simultaneously domestic prices rise by 5 percent, while foreign prices remain unchanged.

   (i) What would be the impact on (a) real exchange rate; and (b) net exports?

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   (ii) How would your answer in (b) above wouldchange if domestic prices remained constant following the nominal currency depreciation?

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3) Suppose a country experiences a sudden surge in capital inflows (e.g., FPI inflows) that create an excess supply of foreign exchange (say dollars). How would this affect the following?

(a) the exchange rate and net exports under a flexible exchange rate regime

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(b) the exchange rate and foreign exchange reserves under a fixed exchange rate regime ?

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4.4 LET US SUM UP

In this unit, we learnt that how openness to international trade and capital flows affects policy and macroeconomic outcomes within an economy. Our discussion on national income identities highlighted important differences between closed and open economies. For example, we saw that open economies can run current account deficits and borrow from the rest of the world to cover an excess of aggregate expenditure over income. Exchange rates are an important macroeconomic variable in open economies and from our analysis of BOP we got a flavor of the various factors, related to international trade in goods, services and assets that affect the demand and supply of foreign exchange and have an impact on nominal and real exchange rates. In this context we also learnt about alternate exchange rate regimes, viz., fixed and flexible exchange rate regimes.

4.5 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) Refer to Section 4.2 and answer.

2) Refer to Section 4.2 and answer

Check Your Progress 2

1) a) True

b) False

c) True

d) False

2) Refer to Sub-section 4.3.2 and answer.

3) Refer to Sub-section 4.3.2 and answer.

UNIT 5 OPEN ECONOMY MACROECONOMICS -II*

Structure

5.0 OBJECTIVES

After going through this Unit you should be in a position to

- analyse short run macroeconomic equilibrium using the open economy IS-LM model; and
- discuss the limits to monetary and fiscal policies under fixed vis-à-vis flexible exchange rate regimes.

5.1 INTRODUCTION

In this Unit we will introduce the open economy IS-LM framework and use it to understand the complications involved in framing monetary and fiscal policy under alternate exchange rate regimes. In particular we consider two different exchange rate regimes, viz., fixed and flexible rate systems and explore the implications for conduct of monetary and fiscal policies under the assumption of unrestricted international capital mobility.

Apart from the above, we use the open economy IS-LM framework with perfect capital mobility to study the conduct of monetary and fiscal policy under alternate exchange rate regimes. First we examine the conduct of policy making under flexible exchange rates, followed by the case of a fixed exchange rate regime. This is known as the 'Mundell-Fleming model', named after economists Robert Mundell and Marcus Fleming, who developed this framework and analysed policymaking in open economies in the early 1960s.

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